

Factors Affecting the Sale of Off-Plan Properties in Dubai

Assignment / resale of under-construction units before handover — regulatory, cost, and market factors

Reference compiled 2026-08-03 from Dubai Land Department legislation (Law 13/2008 and amendments) and 2026 market/brokerage guidance. Developer-specific figures vary by SPA; verify per project. Not legal or financial advice.

1. What an off-plan resale actually is

An off-plan resale (an "assignment of contract") transfers the original buyer's rights and obligations under the Sale and Purchase Agreement (SPA) to a new buyer before the project is handed over. The seller is not conveying a completed unit with a title deed — they are assigning their position in the interim (Oqood) register. The new buyer assumes the remaining payment plan and receives the title deed on completion. This is governed by Law No. (13) of 2008 (Interim Real Property Register) and its amendments, alongside RERA brokerage rules and the developer's own resale policy.

2. Regulatory factors — eligibility to sell

Factor	Effect on ability to sell
Minimum % paid threshold	Developers typically require 30–40% of the price paid before approving assignment; some premium projects may require 50%.
Developer NOC	A No Objection Certificate is mandatory: it confirms developer consent, that the seller is current on payments, and that the unit is eligible for assignment.
Oqood registration	The unit must be registered in the interim (Oqood) register; the Oqood record must be updated to reflect the new buyer.
Payment status / arrears	Any arrears or unpaid milestones block the NOC. Escrow and Law 8/2007 obligations sit behind the NOC.
SPA assignment clause	The definitive rule for a specific unit is in its SPA, not a general figure — terms and any developer policies apply.

3. Cost factors — what erodes the resale margin

Cost item	Indicative amount	Who typically pays
DLD transfer fee	4% of sale price	Buyer (sometimes split 2/2 if agreed in MOU)
Oqood re-registration	AED 5,000–10,000 (DLD-set)	Buyer/seller per agreement
Developer NOC fee	~AED 1,000–5,250	Seller
Developer assignment/transfer fee	~2–5% of original price (project policy)	Seller (varies)
Agency commission	~2% + VAT	Seller (and/or buyer)
Total resale transaction cost	~6–11% of sale price	Combined

The developer assignment fee and the minimum-payment gate are the two factors that most often make an early resale uneconomic: a seller who has paid only the down payment plus one installment may be below threshold and, even if eligible, may see a 2–5% assignment fee wipe out a thin premium.

4. Market factors — what drives price and saleability

Factor	How it affects the sale
Construction progress	Higher completion % generally lifts buyer confidence and price, and also clears the payment threshold
Handover timing	Nearer handover reduces perceived risk; very early-stage units trade at wider discounts or thinner margins
Developer reputation	Tier-1 developers (delivery track record) command stronger resale demand and premiums; weaker reputations depress prices
Original payment plan	Attractive post-handover / low-down-payment plans make a contract more sellable, since the buyer's cash outlay is lower
Location & product	Prime, supply-constrained communities hold premiums; oversupplied areas or generic product types trade at discounts
Market cycle & launch pace	Heavy new-launch pipelines compete with resales; a hot cycle supports premiums, a cooling one depresses them
Price premium vs. original	The resale price relative to the original SPA price is the core outcome variable — driven by all other factors

5. Suggested variables for analysis

For a data study, the outcome to model is the resale premium/discount (resale asking price vs. original SPA price, or vs. current developer price for comparable new units). Candidate predictors: construction completion %, months-to-handover, developer tier, community, unit type/size, original down-payment %, whether a post-handover plan applies, and DLD market-cycle indicators (transaction volume/price index from the DLD Annual Report and RPPI in this corpus). Live asking-price and price/sqft data are in the companion listings file.

Compiled for corpus/testing use. Regulatory basis: Law 13/2008 and amendments (primary texts in this corpus). Fee and threshold figures are indicative 2026 market values and subject to change per developer and DLD.